

Toronto Property Tax & Development Pressure — Buyer Reference Note

Toronto property tax is levied annually as a percentage of the property's assessed value as determined by the Municipal Property Assessment Corporation (MPAC). The total rate combines the City, education, and city-building levies and is in the order of 0.7% of assessed value, rising over time with budget increases and reassessment.

Because property tax is charged every year, a decade of property tax is one of the largest non-mortgage costs of ownership and compounds with assessed-value growth.

Active development applications near a property (rezonings, site-plan approvals, and committee-of-adjustment minor variances) signal neighbourhood change. A high concentration of nearby applications can mean construction disruption, shadowing, and shifting amenity and traffic patterns over the ownership horizon.

Development pressure cuts both ways: it can raise long-run land value but also introduce years of construction impact. The cost engine flags high application counts within a 500-metre radius as a neighbourhood-change risk.

CMHC mortgage default insurance is required when the down payment is below 20%. The premium is added to the mortgage principal and increases total interest paid over the amortization, another hidden cost beyond the list price.